FORSYS
Forward Thinking

Case Study

30% Savings in TCO with Back-Office Modernization using Oracle Fusion Cloud

Insight

An American video delivery technology and services company moved to the on-premise Oracle database (Finance, SCM, and CRM) more than two decades ago. Since then, the customer's processes and best practices have undergone multiple modifications. The client wanted to reduce cost and modernize its infrastructure to improve reliability, scalability, flexibility, and performance.

Forsys teamed up with **FloData** to build a hybrid cloud-on-premise application landscape and helped the client migrate to Oracle Fusion Cloud, resulting in a 30% savings in total cost of ownership (TCO).

Industry	Revenue	Employees	Headquarters
Telecommunications	$150+ M	1k+	California, US

Business Challenge

The client witnessed a rapid surge in new bookings, and sequential, quarterly, and year-over-year revenue growth.

The key challenges that compelled the client to switch to Oracle Cloud were:

- Inconsistent parent and child account relationships (for example, one child account comprising multiple parent accounts) hampered the chart of accounts hierarchy.
- Needed 4+ days to complete the monthly/ quarterly end process.
- Failed to support intercompany transactions for cross charges.
- Manually handled the statutory requirements of French Generally Accepted Accounting Principles (GAAP).
- Higher depreciation costs compared to the actual cost of a few assets.
- Lack of expertise in cleansing and removing duplicates, and filtering redundant and outdated data.
- Reconcile & validate data within the source system, and between source and destination.
- Migrate reports from the Financial Statement Generator to Fusion Reporting Studio.
- Analyze data (open and closed transactional data) based on jurisdiction and regulations.
- Migrate 100% of the data to the Oracle Cloud and validate it.

Transformation Journey

Forsys helped the client migrate to Oracle Fusion Cloud. As a first step, we provided an Oracle Cloud Proof of Concept (POC) to understand their current landscape and expectations. After that, we defined the business and technical requirements and identified and resolved the gap areas.

Due to the scale and complexities involved, we used a phased approach for migration, beginning with finance to ensure uninterrupted access. The POC created a hybrid cloud-on-premise application landscape and built the integrations between finance in the cloud and the on-premise modules, including third-party tools.

The key highlights of the approach to the solution are:

- POC and demo on Oracle Cloud for two business units (the US and France) (General Ledger (GL), accounts payable (AP), accounts receivable (AR), Fixed Assets (FA), Order Management (OM), and Inventory (INV).
- Formation of the Financial Report Centre (FRC).
- Creation of infolets in Oracle Fusion Applications to display key information about the client.
- Execution of data conversion (GL Balances, Currency Conversion, Open AR Invoices, Open AP invoices, Customers, Suppliers, and Assets).
- Integration of master data with transactional data.

Impact

Post migration, the client witnessed:

- **25% improved implementation time with data readiness.**
- **Faster closure of current and ongoing customizations.**
- **30% improved TCO reduced the month/ quarter-end process from four to one day.**
- **Optimized reporting center with anytime, anywhere access.**
- **Better resource management.**
- **Automated journal entries in the primary ledger to transact to the secondary ledger to support French GAAP requirements.**
- **Displayed asset transactions in the secondary ledger when the transactions interfaced to GL.**
- **Improved disaster recovery and low maintenance.**

About the Client

The client is an American video delivery technology and services business that enables media companies and service providers to deliver ultra-high-quality broadcast and OTT video services to consumers globally.

Technology/Tools

Oracle Fusion Cloud, **FloData,** NetSuite, JIRA